



AI in Consulting

Charting New Horizons

Case Study

This case was written by **Rajan Shah** and reviewed by **Dr. A. Saravanan Naidu**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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"Consultancies are built for two-by-two matrices. AI's matrices are a million by a million."

– Roy Bahat, Head of Bloomberg Beta¹

Alex Chen (Alex), a highly regarded business consultant with a track record of successfully guiding companies through complex challenges, was at a crossroads in his career. As technology advanced at an unprecedented pace, Alex recognised the need to adapt and embrace emerging innovations to maintain his competitive edge in the consulting industry. The emergence of Artificial Intelligence (AI) presented both a challenge and an opportunity for Alex. Intrigued by the potential of AI to revolutionise traditional consulting practices, Alex embarked on a journey to explore the intersection of AI and consulting.²

Categorised as operations consulting, financial advisory, strategy consulting, technology advisory, and other service types, according to Mordor Intelligence, the global consulting market was estimated at \$354.01 billion in 2024. It was forecasted to reach \$447.72 billion by 2029, registering a CAGR of 4.81% for 2024-29. Identifying the growth drivers of the global consulting market, the renowned research firm mentioned, "The growth of the consulting services market is influenced by several factors. Increased complexity in business operations, evolving technology landscapes, and a growing focus on strategic decision-making drive demand. Companies seek external expertise to navigate challenges, implement digital transformations, and enhance overall efficiency. Globalization, regulatory changes, and the need for innovative solutions also contribute to the expanding market. Additionally, the surge in awareness of the benefits of consulting services among small and medium-sized enterprises further fuels the market's growth." (Annexure I).

Amidst such growth, the major question that arose in the mind of Alex and thousands of professionals like him was – with the emergence of AI and other technologies, would there be a need for 'human' consultants 50 years from now? According to Suyash Jain³ (Jain), "Consultancy, as an industry, is heavily dependent on intellectual analysis, rational judgment and creativity of human and is therefore human resource intensive... However with the disruptions and advancement of AI and Robotics, data analysis, warehousing and data modelling have become much more easier and accessible for organizations and will inevitably impact the consulting industry."

¹ An early-stage venture capital firm with \$375 million under management and capitalised solely by *Bloomberg*.

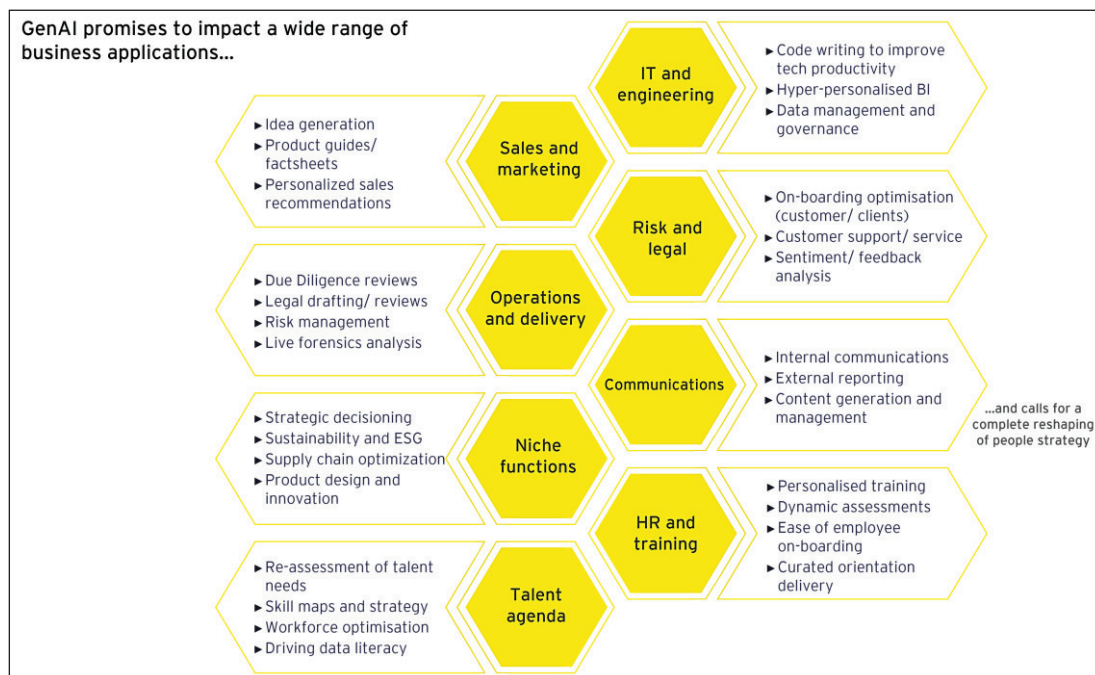
² A hypothetical scenario and character developed by the author.

³ An investment lawyer.

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Faster decision-making, AI-powered analytics, and AI automation tools were the three major trends threatening the consulting industry. In the words of Shobhit Choubey⁴, “Business consultants typically spend a significant amount of time collecting and analyzing data to identify trends, patterns, and insights that can help their clients make informed decisions. But AI can identify insightful patterns in large datasets in mere minutes, that might not be immediately apparent to human analysts. This means that businesses can make faster decisions at low cost. For e.g. in the area of financial forecasting, AI powered Predictive Maintenance can be used to more accurately predict market trends, and thereby helping organizations make more informed investment decisions AI-powered predictive maintenance can help organizations make more informed investment decisions by more accurately predicting market trends and analyzing risk.” He further added, “Streamlining the operations and increasing efficiency for their clients is one key working areas of business consultants. AI-backed automation tools in areas like quality control and fault detection can help businesses reduce costs, increase efficiency, and improve quality by automating repetitive tasks, reducing errors, and improving consistency.” (Exhibit I).

Exhibit I
Generative AI and Potential Disruption across the Industries



Source: Prashant Garg, “The future of consulting in the age of Generative AI”,
https://www.ey.com/en_in/consulting/the-future-of-consulting-in-the-age-of-generative-ai,
 June 29th 2023

Many experts opined that AI would replace the consultants in such a changing scenario. According to Michael Greenberg⁵, “Most consultants aren’t actually that smart. They’re just smarter than the average person. Consultants generally do non-creative tasks based around systematic analysis, which is yet another thing machines are normally better at than humans.” Not happy with the quality of the consultants, Heather Murray⁶, said, “There are so many poor quality consultants that rely rigidly on working their clients through set frameworks, regardless

⁴ Senior Analyst at Everest Group.

⁵ A Modern Industrialist focused on B2B, personalised services, Media Operations, and digital operations.

⁶ Director at Beesting Digital.

of the individual's needs. AI could do that easily." AI Business Consultant Damian Sebastian (Sebastian) opined, "It's a matter of timing...In the short to medium term, a lot of consultants will be put out of a job. The demand for consultancy work is growing, but this growth is outpaced by how AI technology is speeding up common tasks such as writing reports and analysis." Sharing the same views, Rob Da Costa⁷, mentioned, "AI-powered virtual assistants could handle many routine consulting tasks like gathering basic client information, explaining processes and options, providing recommendations based on parameters, and answering common questions."

However, a set of experts opined that AI won't replace consultants. Heather Flanagan⁸ opined, "Good consultants bring the human experience and context-driven guidance that AIs aren't able to do. AI is a fantastic value-add, as it can help a consultant scale engagements and lead generation. It's a value add more to us than to what we offer to our clients." Joffrey Berti⁹ also stressed on human experience that could not be replaced by robots. In his words, "AI lacks the human consultant's ability to understand nuanced business contexts and the complex dynamics of organizational culture. Human consultants bring a level of creativity and strategic insight informed by years of experience and personal judgment that AI cannot replicate yet especially on complex multidimensional projects."

Despite both arguments for and against, Sebastian believed, "High performing consultants will use AI tools as co-pilots, increasing their outputs exponentially, while big consulting companies will become infinitely more lean and profitable."

'Reinventing' Consulting with AI?

In the age of AI-powered analytics, automation, and decision making, consulting industry could 'automate core deliverables with AI writing assistants (example: ProAI's Pro Business Plans, Duet by Google and Notion AI), provide 24/7 client support with AI chatbots, enhance recruiting through predictive hiring algorithms, and streamline operations with intelligent process automation'. In the words of Chase Hughes¹⁰, "Rather than viewing AI as a replacement for human intelligence, I believe that forward-looking firms should embrace it as collaborative intelligence. Algorithms can rapidly process vast amounts of data but lack human judgment, empathy and creativity. Consultants provide real-world acumen but have limited time... Together, human and artificial intelligence are far greater than the sum of their parts. But integration must be prudent and client-focused. By responsibly embracing the AI revolution, management consulting firms can accelerate growth, improve clients' experiences, empower employees and help build more innovative and sustainable organizations for the future."

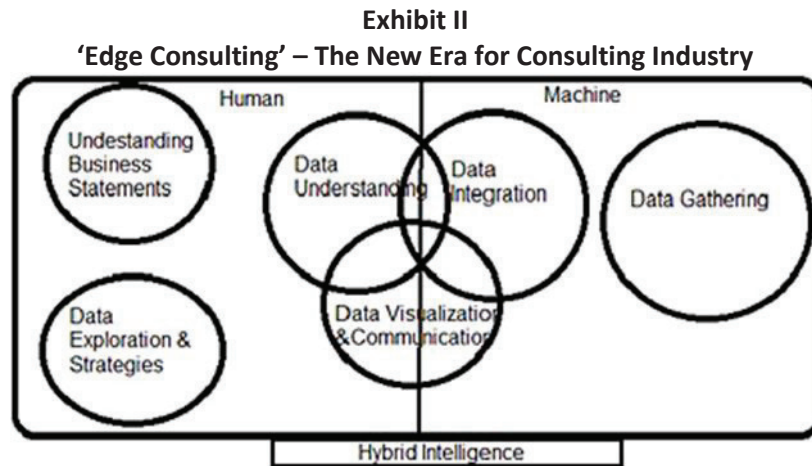
Sharing similar views, Jain stressed on '*Edge Consulting*' and said, "We have often seen that when human strengths collaborate with AI and Robotic capabilities, it has generated spectacular results. The consulting industry needs such 'hybrid intelligence' to stay relevant. Consultants, through collaboration with machine capabilities could also expand of current technologies and create new use case, efficient solutions for its clients." **(Exhibit II).**

⁷ Funded Da Costa Coaching in 2007 to help agency owners and provide 1-to-1 coaching.

⁸ AI consultant with Spherical Cow Consulting based in the US.

⁹ Rapid transformational coach and strategy consultant.

¹⁰ Former Forbes Council Member and CEO of ProAI, an AI-powered platform providing customized tools and advisory to help businesses start, fund, and scale.



Source: Suyash Jain, “Ripe for Disruption: How AI & Robotics will impact and transform the Consulting Industry.”, <https://www.linkedin.com/pulse/ripe-disruption-how-ai-robotics-impact-transform-consulting-jain>, March 8th 2023

In the words of Leslie Garçon¹¹, “Many projects imply data synthesis, data crunching and formalization. AI is already very performant in those fields but must be checked for coherence and models need to be refined. Management Consultants able to leverage AI while maintaining high quality in their results have a competitive advantage. Data based projects will evolve but human expertise will still be needed. People skills are another important part of projects and for consultants, the ability to lead change within organizations will be more and more critical and irreplaceable.”

However, identifying red flags, Soren Kaplan¹², “While A.I. is poised to disrupt the business consulting industry, there are several hurdles that exist before we see widespread adoption of the technology and related A.I.-driven processes... One of the biggest challenges is the lack of trust in A.I.-powered solutions. Many businesses are hesitant to rely on A.I. for critical decisions because they don’t fully understand how A.I. algorithms work or how reliable they are. This means that businesses may need to invest in education and training to build trust in A.I.-powered solutions. That’s an area where consultants can help.” He further added, “Whether a new technology is seen as ‘disruptive’ may be in the eye of the beholder. Consulting firms have an opportunity to use it to disrupt business as usual before being disrupted themselves.”

Looking ahead, Michael Chui¹³, James Manyika¹⁴, and Mehdi Miremadi¹⁵ at McKinsey & Company opined, “One of the biggest technological breakthroughs would come if machines were to develop an understanding of natural language on par with median human performance—that is, if computers gained the ability to recognize the concepts in everyday communication between people.”

Given this scenario, what would Alex’s career road ahead be?

¹¹ CEO of WEEM (France). Founded in 2018, WEEM is an agency that brings together top independent talents and companies.

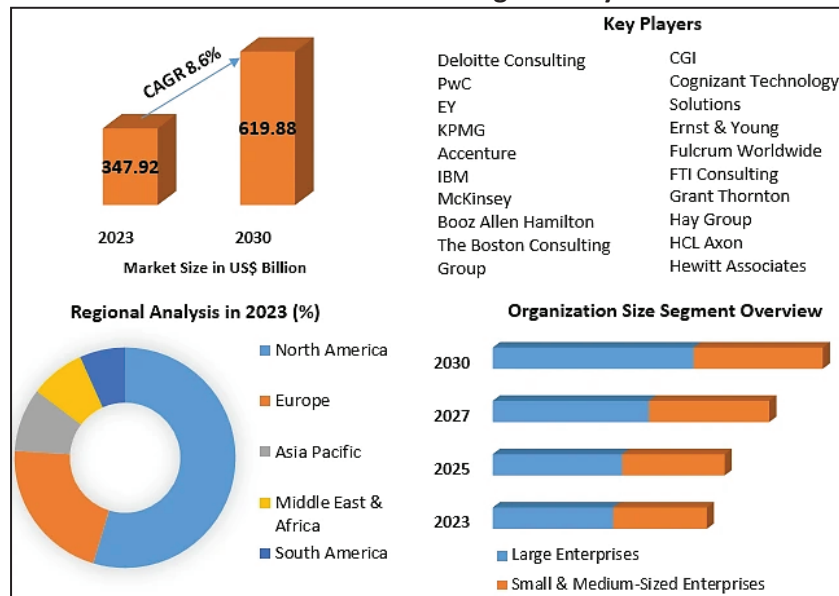
¹² The Author of Experiential Intelligence, an affiliate at USC’s Center for Effective Organizations, and the founder of Praxie.com.

¹³ A Partner in McKinsey’s San Francisco office.

¹⁴ A Senior Partner at McKinsey.

¹⁵ A Partner in the Chicago office at McKinsey.

Annexure I The Global Consulting Industry



Source: "Management Consulting Market: Minimization of Costs, Increasing Digital Marketing, Regulatory Developments & Growth of Freelance Consulting",
<https://www.maximizemarketresearch.com/market-report/global-management-consulting-market/23814/>, January 2024

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